Questions and answers on the next long-term budget*

Brussels, 16 July 2025

What is the structure of the Commission proposal for the 2028-2034 EU budget?

The long-term EU budget, also referred to as the Multiannual Financial Framework (or 'MFF'), is the financial capacity of the Union to deliver on its shared political priorities.

The Commission is proposing a seven-year MFF, from 2028 to 2034. It is structured along main categories of expenditures ('headings') and provides for a maximum amount for each of them ("ceilings"). The Commission proposal includes four headings, plus a 'flexibility instrument' and a 'Ukraine Reserve' that can provide additional funds over and above these ceilings. These elements are specified in the Regulation establishing the Multiannual Financial Framework.The headings of the proposed 2028-2034 Multiannual Financial Framework correspond to the major areas of activity financed by the EU budget, more specifically Europe's economic, social and territorial cohesion, agriculture, rural and maritime prosperity and security; Competitiveness, prosperity and security; Global Europe, and Administration.

- **Heading 1:** encompasses in particular the **National and Regional Partnership Plans** (NRPP)), to promote economic, social and territorial cohesion, sustainable development and competitiveness of the Union and its security, while supporting agriculture, rural and maritime prosperity. Frontex, Europol and other decentralised agencies are also included. In addition, a fixed annual amount for the repayment of NextGenerationEU is included in this heading. This amounts to EUR 1 trillion.
- **Heading 2** includes the **European Competitiveness Fund** and **Horizon Europe** This heading also includes key programmes to support the Union cross border connectivity (Connecting Europe Facility), preparedness and response to crises, including health (Union Civil Protection Mechanism+), as well as Europe's cross-border education flagship programme Erasmus+, and the new 'AgoraEU' that will support culture, media and civil society organisations. This amounts to EUR 589.6 billion.
- **Heading 3:** hosts **Global Europe**, as well as the **Common Foreign and Security Policy and Overseas Countries and Territories** (including Greenland). This amounts to EUR 215.2 billion.
- **Heading 4:** expenditures for the European Public Administration are covered here, and will amount to a stable share of 6% of the MFF. Beyond these four headings, **a special reserve will be available to support Ukraine.**

Lastly, **the flexibility instrument** will allow the Union to react to new and unexpected needs with funds over the expenditure ceilings.

What are the main elements of the proposal?

In legal terms, the Commission is presenting today proposals for:

- A regulation establishing the Multiannual Financial Framework,
- An interinstitutional agreement on budgetary matters,
- An own resources Decision
- And a Regulation on the performance, monitoring and evaluation of the Union budget.

The Commission is also sharing the first set of sectoral regulations to govern the programmes under the next Multiannual Financial Framework, notably on:

- the National and Regional Partnership Plans and related sectoral regulations (Common

Agricultural Policy, Common Fisheries Policy, European Social Fund, Cohesion policy and Home affairs);

- the European Competitiveness Fund and Horizon Europe;
- Erasmus+;
- the Connecting Europe Facility;
- a Global Europe Instrument;
- the Union Civil Protection Mechanism and health emergency response;
- and AgoraEU.

This comprehensive package constitutes a strong basis to start the negotiations with the European Parliament and the Council, within their respective prerogatives.

How will flexibility be ensured in the next MFF?

The next MFF will ensure significant flexibility across the EU budget, while providing predictability for beneficiaries.

It will be easier to redirect funding within and across financial programmes to provide financial support where it is most needed. **A significant share of the next MFF will not be pre-programmed or pre-planned, so that emerging needs can be addressed swiftly and effectively**. The aforementioned Flexibility instrument will bring to the EU budget additional capabilities to address unforeseen circumstances that require additional resources.

In case of severe crisis, a new extraordinary Crisis Mechanism will be available, offering loans to Member States. The activation of this Mechanism will be decided by the Council. The implementation of this tool will ensure institutional balance including through involvement of the European Parliament.

How much will the repayment of NextGenerationEU cost?

Repayment of EU borrowing allocated to NextGenerationEU will start as of 2028 and will take place over a long-time horizon – until 2058.

The Commission proposes a fixed annual amount for the repayment of NextGenerationEU between 2028 and 2034, including both the interest and the principal, at EUR 24 billion/year in current prices. This means an overall cost of EUR 168 billion in total.

The estimated interest costs are based on current market forward rates, including a buffer to account for interest rate uncertainty, due to refinancing activities. Within this annual amount, the part that is not needed for financing costs will be used to repay the principal.

This approach ensures full predictability to the budgetary planning and for Member States contributions to the budget. It insulates the repayment from market volatility and delivers a steady and predictable reduction of the liabilities stemming from NextGenerationEU.

What does the new MFF mean for Member States? How much will each Member State be receiving?

The Multiannual Financial Framework finances our shared priorities and delivers added value for all Europeans. Research has shown that there are substantial spillovers from EU funds that indirectly benefit other Member States through the single market and integrated supply chains.

Cohesion and agricultural policy remain at the heart of the MFF. Support will become simpler and easier to access, by bringing together all EU funds implemented by Member States and regions under a coherent strategy.

With that in mind, nearly 48% of the budget will directly support Member States to deliver on EU priorities in the area of agriculture, cohesion, maritime policy and home affairs, according to the countries and regions own needs and specificities.

These are amounts allocated to Member States based on their relative level of economic development, population, and population living in rural areas at risk of poverty or social exclusion. In addition, regional convergence and agricultural convergence are taken into account so that Member States with more inequalities get additional support to close the gap.

Moreover, the amounts allocated for migration, security and border management have been tripled, demonstrating the importance of these policies for Europe's safety and prosperity.

How is the MFF supporting economic, social and territorial cohesion?

The new long-term budget will bring together EU funds implemented by Member States and Regions under one coherent strategy, with cohesion and agricultural policy at its core.

This strategy will be implemented through National and Regional Partnership Plans (NRPPs), simpler and more tailored, to maximize the impact of every euro. Having one single plan per Member State integrating all relevant support measures - whether for workers, farmers or fishers, cities or rural areas, regions or the national level - ensures a much stronger impact, and a much more efficient use of European funding. It is the most effective way to support the Union's territories and communities. It brings genuine simplification, both for public authorities and for direct beneficiaries.

The Plans will foster convergence and reduce regional disparities. They will identify investments and reforms to better address tomorrow's challenges for the Member States and our Regions.

The Plans will be designed and implemented in close partnership between the Commission, the Member States, Regions, local communities and all other relevant stakeholders. Support to farmers and fishers will be ringfenced, therefore ensuring predictability and stability which will allow them to plan for the future.

In addition, there will be a mandatory minimum amount for less developed regions, as well as a safeguard ensuring that these will receive overall at least as much funding as under the current cohesion envelope.

The new Partnership Plans will support **quality employment, skills and social inclusion** across all Member States, regions and sectors. They will contribute to promote equal opportunities for all, to support strong social safety nets, foster social inclusion, intergenerational fairness and fight poverty. 14% of the National allocations will have to finance reforms and investments that enhance skills, fight poverty, promote social inclusion and foster rural areas.

How will the MFF be financed?

The EU's own resources are the main source of revenue for the EU budget, allowing the European Union to achieve its objectives and carry out its policies. There are **currently four** types of own resources:

- Traditional own resources (TOR, mainly customs duties).
- An own resource based on value-added tax (VAT).
- An own resource based on the quantity of non-recycled plastic packaging waste (Plastics, established in 2021).
- The own resource based on Gross National Income (GNI), which plays a balancing role to ensure that overall revenue matches the payments.

The Commission is proposing an enhanced package of own resources for the financing of the EU budget. This includes **five new own resources**:

- An own resource based on the current **Emissions Trading System (ETS 1).**
- An own resource based on the **Carbon Adjustment Mechanism (CBAM).**
- An own resource based on the **electrical and electronical equipment non-collected (‘e-waste')**.
- A **tobacco excise duty own resource (TEDOR).**
- A **Corporate Resource for Europe (CORE)**, established as an annual lump-sum contribution by large companies operating and selling in the EU, with an annual net turnover above EUR 100 million.

According to the Commission's proposal, the five new own resources should be introduced as of 1 January 2028. On average, over the new MFF period 2028-2034, these new own resources, adjustments to the existing own resources and other elements of the own resources package are estimated to generate revenue of approximately EUR 58.5 billion per year (in 2025 prices).

What are the National and Regional Partnership Plans?

The National and Regional Partnership Plans will be a means for Member States and regions to propose relevant key investments, reforms and other tailored interventions to better support tomorrow's challenges that will be supported through EU funds. They will cover Cohesion policy, social policy, Common Agricultural Policy, fisheries and maritime policy, migration, border management and internal security. The Plans will be designed and implemented in close partnership between the Commission, the Member States, Regions, local communities and relevant stakeholders. Together, they will make the delivery of EU support faster, more flexible and more tailored, to maximize the impact of every euro.This integrated programming process will allow for better coordination across policy areas as well as a more tailored approach, reflecting the national and regional needs of each Member State while ensuring coherent support to all EU policy objectives and preserving multi-level governance and the partnership principle at the core. Sector-specific rules will complement the Plans' rulebook, to cater best for the specificities of each policy and sector. Certain funds are also ring-fenced within the Plans, such as funds dedicated to income support for the EU farming sector.

What advantages do bring?

The **National and Regional Partnership Plans** will:

- **Simplify the current framework –** moving from close to 540 programming documents to 27 National and Regional Partnership Plans and one Interreg Plan, with a wide eligibility scope and a single set of rules.
- **Tailor EU support to national and regional challenges** – Every territory has a unique set of circumstances and knows best how to address them. The plans will accommodate the diversity of Member States, offering them the flexibility to structure their plans to reflect their own constitutional structures and sectors. This will ensure support is focused on the needs of each Member State and its regions and sectors, in particular those who need it the most.
- **Ensuring alignment with EU priorities and a level-playing field between Member States:** The Commission will issue recommendations to each Member States on priority areas needed to reach common objectives set at EU level. Each Plan will be then approved by Member States and the European Commission, thus ensuring the common-ness and complementarity of our policies.
- **Enhance synergies between policies** – for example, to address the challenges faced by rural areas in a more comprehensive manner, combining funds currently scattered across programmes. A simplified framework will also facilitate synergies with other EU spending programmes (e.g. European Competitiveness Fund, CEF).
- **Ensure that the EU budget supports success,** by providing Member States with the necessary incentives to engage in an ambitious reform agenda and guiding spending where it matters and can bring the highest EU added-value.
- **Enable faster and better value for money –** Each tranche of funding will be disbursed when agreed objectives have been achieved; this is the strongest incentive to ensure that the EU budget delivers results. Funding will be disbursed in a manner which ensures that regions will not see their funding cut when issues arise in relation to reforms that they are not responsible for.
- **Encourage more flexibility and adaptability,** with the progressive allocation of funds throughout the programming period, an easier revision of the plans, and a reserve at EU level, including one to address specifically disturbance in the agricultural markets, offering additional room to adjust to new priorities and crises.

What is the role of regions in the National and Regional Partnership Plans?

Regions will be at the centre of the National and Regional Partnership plans, which will build on the key success factors of Cohesion policy: shared management, multi-level governance, a place-based approach and the partnership principle.

Regional and local authorities will continue to play a key role in the design and implementation of supported measures throughout the whole process.

Concretely, Member States will have the flexibility to structure their plans to reflect their own constitutional and administrative structures and preferences. For example, Member States will be able to choose to structure their plans with national, regional or sectoral chapters.

How will the new MFF simplify access to EU funding opportunities?

Many EU companies, including start-ups and SMEs, do not apply for EU funds because the process is too complex, too slow or too costly. Applicants and beneficiaries have to navigate different eligibility rules, application processes, co-financing rates, as well as multiple entry points.

Therefore, **the Commission proposes to reduce the number of programmes in the next Multiannual Financial Framework from roughly 52 to 16**, with harmonised rules.

In addition, access to EU funds for beneficiaries will be facilitated through the **creation of a single portal**, acting as a unique access point for all funding opportunities under different EU instruments.

How will the Multiannual Financial Framework support cross-border infrastructure?

The new Connecting Europe Facility (CEF), worth EUR 81.4 billion, will finance the completion of Trans-European Networks and foster the EU's green and clean transition in energy and transport.

CEF will also have a key role in ensuring investments in digital infrastructure and supporting the completion of the dual-use cross-border infrastructure for military mobility, contributing to the implementation of the Military Mobility Action Plan.

What is the EU Facility?

The EU Facility will complement the National and Regional Partnership Plans with funding at EU-level to:

• **Deliver on areas of a high EU added-value**, such as cooperation projects, which are burdensome to implement by Member States and require stronger coordination at EU-level,

• **Cater for uncertainty**, through interventions that cannot be programmed in advance but need to follow developments on the ground.

The EU Facility will also simplify the current budgetary landscape, by consolidating the tools and instruments used to achieve these objectives and reducing the number of instruments "over and above" the MFF ceilings. The Unity Safety Net will specifically support the EU farming sector in case of market disturbances.

How will the future Multiannual Financial Framework invest in people?

Supporting people and strengthening our social model is Europe's trademark. We will continue supporting this through:

- **National and Regional Partnership Plans** have a strong social ambition, with a social target of 14%. They will finance reforms and investments to enhance skills, fight poverty, promote social inclusion, boost rural areas, among others, in line with Member States' needs and country-specific recommendations.
    - As part of the plans, the **European Social Fund** will contribute to promote equal opportunities for all, to support strong social safety nets, foster social inclusion and intergenerational fairness.
    - **EU Facility**, within the National and Regional Partnership Plans will finance social innovation, experimentation and capacity-building, and provide budgetary guarantees to promote microfinance, social enterprise finance, and social infrastructure, including health and educational infrastructure and social and student housing.
- **European Competitiveness Fund** will also identify highly specialized and advanced skills tailored to the direct demands of the industry. It will also work together with Erasmus+ to finance activities to close the skill gaps identified.
- **Erasmus+**, one of the flagship programmes in the EU budget, will be reinforced to EUR 40.8 billion. This enhanced funding will contribute to a resilient, competitive, and cohesive Europe by promoting high quality lifelong learning, enhancing skills and competences for life and for jobs for all, while fostering Union values, democratic and societal participation, solidarity, social inclusion and equal opportunities, in the EU and beyond.

- **AgoraEU**, a new programme, will build on the success of the CERV and Creative Europe in supporting a vibrant civil society, cultural exchange and media industry.

How will the next MFF crowd in private sector funding?

Achieving the EU's policy goals requires significant investment, far more than EU public funding alone can provide. To bridge this gap, the EU budget must be used strategically to 'crowd in' private capital, particularly in areas where market failures persist.

We will continue to use budgetary guarantees, financial instruments providing loans and equity, and blending mechanisms which are essential in fostering private involvement.

Building on the success of initiatives like InvestEU and European Fund for Sustainable Development Plus (EFSD+), the Commission also aims to further harmonise its approach for budgetary guarantees and financial instruments across internal and external dimensions—making it simpler and more efficient for implementing partners and final recipients.

How will the new MFF support competitiveness?

The European economy has important strengths – an open economy, high market competition, and a strong welfare model with low levels of inequality. However, Europe's future competitiveness and our ability to sustain our social model will depend on our ability to put research and innovation, as well as science and technology, at the centre of our economy.

With that in mind, the long-term EU budget will promote competitiveness in several ways:

- The **European Competitiveness fund**, tightly connected to **Horizon Europe**, will create a seamless investment journey from research to scaling up and manufacturing for beneficiaries of EU funding, to provide for a more focused and simpler set-up.
- The **National and Regional Partnerships Plans** will combine reforms and investments to foster national competitiveness and the completion of the single market.
- The **Connecting Europe Facility** will help finalise cross-border projects related to energy, transport and military mobility that are essential to improve EU competitiveness and security, as well as to reduce strategic dependencies.
- The **Global Europe Instrument** will provide for tailor-made partnerships based on mutual interests. It will ensure that the EU's strategic interests are advanced, and the needs of partner countries addressed.
- The **Single Market programme** will provide for the necessary flanking measures to complete the single market.

How will defence and security be supported in the next MFF?

A safe, secure and resilient Europe can only be achieved through investment by the EU, its Member States and the private sector. The EU budget will do its part:

- The new MFF will provide financial backing in several ways to achieve a European Defence Union. The **European Competitiveness Fund** will allocate nearly EUR 131 billion to EU activities in support of the defence industry, ensuring coordination and synergies with related sectors like space and civil security, and simplified access to funding. This represents a five-fold increase in funding at EU level compared to the previous MFF.
- The **Connecting Europe Facility** will support investments in military mobility, alongside civilian infrastructure with nearly EUR 18 billion, an amount 10 times higher compared to the current MFF
- The **European Peace Facility** (EPF) will remain an off-budget instrument to finance expenditure arising from operations having military and defence implications.
- The **National and Regional Partnership Plans** will also include reforms and investments supporting, among others, defence industry, internal security, cybersecurity, as well as border and migration management.

What is Global Europe? What are its advantages?

Against the backdrop of an increasingly unstable and evolving international landscape, the EU will

consolidate and better target its external action financing. For this purpose, Global Europe, worth EUR 200 billion will make EU external action financing simpler, more flexible, more focused, and more effective across key priorities. This will entail:

- Structuring our funding around **five geographic pillars** – Europe, Middle East, North Africa and the Gulf, Sub-Saharan Africa, Asia and the Pacific, as well as Americas and the Caribbean – coupled with a complementary global pillar for global actions.
- Making all external action policy tools available under a common policy toolbox, **deploying the right combination of policy tools** designed to most effectively address evolving foreign policy objectives and specific needs of EU partners.
- Enabling the strategic use of different policy tools through **comprehensive mutually beneficial partnership packages**, increasing impact and visibility of EU funds.
- **Catering for predictability** for implementing partners and beneficiaries through multiannual cooperation programmes, as well as **ensuring ample budgetary flexibility** to respond to crises situations.
- Advancing a **new European economic foreign policy**, strengthening the alignment and coherence with EU internal priorities, such as economic security and competitiveness, energy security, migration, climate, connectivity, and access to critical raw materials.

How will the next MFF support enlargement? What about Ukraine in particular?

Enlargement is an investment in Europe's long-term security, peace, stability and prosperity.

Global Europe will provide a coherent package of support to to candidate countries, to accelerate their alignment with EU values, laws, rules, standards, policies and practices - the acquis - through the adoption and implementation of performance-based plans.

The EU's unwavering support to Ukraine will remain a key priority of the EU in the next MFF and will reflect the EU's broader geopolitical goals. The next EU long-term budget will be designed to enable the EU to cater for Ukraine's exceptional and unpredictable needs in the context of Russia's war of aggression, while ensuring that Ukraine is adequately supported towards its EU accession path.

Given the scale and uncertainty of the needs, non-repayable support for Ukraine will be sourced from over and above the MFF ceilings through a dedicated Ukraine Reserve, whereas loans will be financed through common EU borrowing backed by the headroom of the EU budget.

Will the Commission attach conditionalities to the use of EU funding in its external action?

EU funding for external action cannot be subject to the same conditions and criteria as EU funds spent within the Union. Making EU support conditional on specific reforms and/or investments may not be appropriate for all our partners.

Some regions are more susceptible to conditionality than others. Policy-based assistance can work well with regards to enlargement candidates, but would be more challenging in other parts of the world.

Global Europe will include the possibility to link conditionality to rule of law and human rights principles in the respective reform programmes.

A consistent part of EU support to democracy and rule of law takes place at the level of implementation. Besides directly supporting and engaging civil society organisations worldwide and providing a life-line to human rights defenders, the EU has mainstreamed a human rights-based approach to all our funding. In addition, important aspects of rule of law and fundamental rights reform would not be fully addressed by partner governments on their own, or by other donors, without EU funding.

How will the Green Deal objectives be delivered in the next MFF?

The green transition is at the core of the next EU budget, supporting citizens and businesses towards a sustainable and resilient future by decarbonising the economy and restoring natural ecosystems.

To achieve this, the new long-term budget will include a dedicated 35% climate and environment target. Going beyond climate change mitigation and adaptation as well as biodiversity measures, the new target will support climate resilience across sectors and communities and strengthen circularity.

An upgraded monitoring system will assess how much the EU budget spends on green priorities. Tracking coefficients for climate change mitigation, climate change adaptation and resilience, and environment will enable a more robust quantification of the EU budget contribution to these policies. This will reinforce the link between "how much we finance" and "what results we have achieved", to strengthen performance in the EU budget. For example, it will be much easier to know how the budget has contributed to reducing Greenhouse Gas emissions, supporting climate resilience and preparedness measures, or restoring natural ecosystems.

There will also be a stronger link to the needs of regions in the National and Regional Partnership Plans, in line with the European Semester, the Nature restoration plans and the National Energy and Climate Plans.

How will the rule of law be protected under the future MFF? And respect of fundamental rights?

The general regime of conditionality for the protection of the EU budget (also known as Conditionality Regulation) will continue to protect the entire EU budget.

National and Regional Partnership Plans will provide **additional safeguards** by making compliance with the **rule of law principles** and the **Charter of Fundamental Rights a prerequisite** for receiving any support:

- To have their Plans approved, Member States will have to demonstrate that they have adequate mechanisms to ensure compliance with the rule of law principles and the EU Charter throughout the implementation of the funds.
- There will be a **possibility to block part or all payments at any moment** during implementation, in line with the principle of **proportionality**, taking into account the nature, duration, gravity and scope of the identified breach.
- Member States will have to address the identified breach in a timely manner or face a reduction of EU support.

Will the Commission continue to support civil society organisations?

Support for civil society organisations will remain strong in the next MFF, with efforts to simplify funding processes, reduce administrative burdens, and improve access through user-friendly digital tools.

How will migration be addressed and will there be new areas of support in the next MFF?

The National and Regional Partnership Plans will help ensure a common approach to migration, while fostering cooperation between Member States. This will be achieved by:

- **Capitalising on synergies between different policies**, better equipping Member States and regions to integrate migrants in the labour market, while protecting their borders.
- **Linking reforms with investments**, to help Member States implement the Pact on Migration and Asylum.
- **Catering for uncertainty and promoting solidarity**, by using the EU Facility to provide additional room of manoeuvre and support to Member States affected by migration shocks.

In addition, Global Europe will address the **root causes of migration and fragility** through comprehensive tailor-made partnerships.

How will the Common Agricultural Policy be supported in the next MFF?

The National and Regional Partnership Plans will support the Common Agricultural Policy, preserving the role of farmers and rural areas at the heart of the next EU budget. With that in mind, the CAP will be structured according to the following principles:

- **Simplification:** building on the efforts of the latest CAP simplification packages, the National and Regional Partnership Plans will significantly reduce administrative burden, with the same rules on payments, controls and audits, and transparency as other EU funds implemented by Member States and regions.
- **Safeguarding income support to farmers:** EU farmers will continue to receive the support they need via ring-fenced CAP income support, including area-based payments, coupled income

support, investments, support to small and young farmers and incentives for agri-environmental measures.

- **Synergies:** A more integrated approach will also help address the challenges facing rural areas and young farmers in a more comprehensive manner. Member States and regions will be able to build synergies between income support to farmers and the effects from public investments in connectivity, healthcare, infrastructure or education – creating a more coherent strategy for revitalizing rural areas and ensuring generational renewal.
- **A broader toolbox:** The EU farming sector and rural areas face greater challenges. The CAP addresses most of them thanks to its ring-fenced income support and investments. Beyond this policy, which remains central to support EU farmers, the plans will also offer a broader toolbox – such as investments in rural areas supported by cohesion funds; cooperation tools such as LEADER to develop rural training activities; or support to reforms for the benefit of the agricultural sector (e.g. taxation reforms to facilitate transmission of farms or social benefits for young farmers, to encourage generational renewal). The reforms will be included in the plans in such a way to reinforce the programming without impacting the payments to beneficiaries, hence safeguarding the predictability of support and payments to farmers.

- **More flexibility and support after crises:** Member States will be able to use their unprogrammed flexibility amounts to support farmers affected by a natural disaster. The ”Unity Safety Net” included in the EU Facility will allow the Commission to react quickly to market disturbances affecting the agricultural sector. The EU Facility will also enable Member States to receive funding for natural disasters, other crises or new priorities that could affect the agricultural sector.

For more information

Press release - An ambitious budget for a stronger Europe: 2028-2034

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